

in April or May 1995 (it appeared much later, in September 1995). If that is the case, then you should also skip this trade because the right shoulder might top out at about 16. This theory assumes price continues moving lower and probably stops dropping in the 10-to-12 range (forming the neckline) before moving up to the right shoulder. Since price should drop, why buy now?

Another clue to this horn failure is the spikes themselves. If you look over prior price action, you'll see several downward price spikes that rival the height of the horn. These are warning signs that this horn might not be anything special (and you're looking for unique).

The visibility is poor because earlier prices block the view. Usually, a downtrend has lower lows (like that shown in the February to April 1995 decline). A horn appearing in a sharp decline should have good visibility to the left of the pattern. What this obscured view tells us is that price seems to form a base while the price tops are declining. In other words, a descending triangle is forming and the investor should be wary (the theory is that the descending triangle is bearish).

Taken together, there seems to be ample evidence that this horn might not work out as expected. But, statistically, how often do horn bottoms fail? We'll see the answer in a bit as we review the numbers.

Statistics

[Table 43.2](#) shows general statistics for horns.

Number found. I found 1,485 horns on the weekly charts with the first one appearing in August 1991 and the most recent in December 2019, finding them in 762 stocks. Not all stocks covered the entire period, and some stocks no longer trade.

Reversal (R), continuation (C) occurrence. All of the horns I studied were reversals of the downward price trend. In other words, they were bottoms, not tops. Some appeared in a rising price trend with just a week or two drop leading into the horn, but most appeared near the end of a downward trend.

Average rise. The average rise in bull markets is almost twice what it is in bear markets. This makes intuitive sense. Think of trying to swim with